

BDCR-26 / BDCR-27 · COMPANION DOCUMENT

Capitalizing on the Downturn: the Hertz Pattern as a Science

How to turn a dated liability into a dated trade, what today's ledger contains, and what the models say about a \$50,000 stake and a \$1,000,000 target. Written 28 September 2026 against the Sept 28 re-score and the v0.2 timing engine.

OBJECTIVE · time the crash and express it in puts

METHOD · liability-event ledger · scenario put model · v6 historical replay · BDCR-27 hazard curves

STATUS · Analytical framework. Not investment advice. Every price and probability here is soft; the dates are the product.

1 · THE OBJECTIVE IN NUMBERS

Twenty times on a whole stake is not what index puts do; it is what a dated, unpriced default does

The trade you describe on Hertz had three properties: a specific obligation with a specific date, cash that was demonstrably not there, and a creditor waiver whose expiry converted the arithmetic into a court filing. The put paid twenty to fifty times because the market priced the risk over weeks while the calendar decided it on a day. That is the pattern this playbook formalizes. Before the pattern, the arithmetic, because it decides how the \$50,000 has to be split.

The scenario put model (October 2 inputs and weights, 8,000 paths per structure, exit at the crash trigger) gives the following. P0 is the share of paths that expire worthless; the quantile columns are the multiple of cost at the 90th and 99th percentile of paths.

STRUCTURE	COST	EV	P0	≥5×	≥10×	≥20×	Q90	Q99
[B] NVDA Jun-27 p~105 (53% OTM)	0.21%	3.92x	61%	27%	17.9%	3.2%	14.5x	28.3x
[B] NVDA Dec-26 p~105 (53% OTM)	0.03%	0.66x	94%	3%	2.4%	0.9%	0.0x	18.4x
SPX Mar-27 10% OTM	1.25%	1.54x	80%	12%	7.4%	0.5%	6.8x	17.9x
[B] PLTR Dec-26 p~105 (40% OTM)	0.49%	0.74x	90%	6%	2.2%	0.2%	0.0x	12.0x
[B] SOXX Mar-27 p~425 (23% OTM)	1.40%	1.19x	83%	12%	2.9%	0.1%	5.7x	14.0x
[B] PLTR Mar-27 p~105 (40% OTM)	1.60%	1.09x	73%	8%	0.4%	0.0%	4.6x	7.7x
[B] QQQ Jun-27 p~655 (11% OTM)	2.94%	1.91x	61%	20%	1.0%	0.0%	6.3x	10.0x
SPX Mar-27 90/75 spread	1.17%	1.37x	79%	12%	5.3%	0.0%	7.3x	12.8x
ORCL Mar-27 85/60 spread	6.73%	0.55x	68%	0%	0.0%	0.0%	2.0x	3.1x
SPX Dec-27 10% OTM	3.22%	2.69x	42%	28%	0.1%	0.0%	6.2x	8.3x
SPX Dec-27 90/70 spread	2.81%	2.34x	42%	12%	0.0%	0.0%	5.1x	6.7x
QQQ Dec-27 10% OTM	4.78%	2.39x	36%	9%	0.0%	0.0%	4.9x	6.5x
QQQ Dec-27 90/65 spread	4.21%	2.07x	37%	2%	0.0%	0.0%	4.1x	5.4x
SOXX Dec-27 85/55 spread	5.56%	1.74x	35%	0%	0.0%	0.0%	3.3x	4.4x
NVDA Dec-27 80/45 spread	7.00%	1.68x	27%	0%	0.0%	0.0%	2.8x	3.6x
ORCL Dec-27 15% OTM	14.52%	1.23x	28%	0%	0.0%	0.0%	2.1x	2.6x

What the table says. The long-dated index puts that the map favors (December 2027 and June 2028, 10% out of the money) have the best expected value in the book, around 2.4 to 2.7 times cost, and a 29% chance of five times or better on the SPX December 2027 put. They have essentially no paths at twenty times. Twenty times only appears in two places: deep out-of-the-money single-name replicas of the Burry book (Nvidia 53% out of the money: 3% of paths, with a 60% chance of zero), and the v6 historical replay's 2020 case, where a two-month 25%-out-of-the-money SPX put bought on February 14, 2020 returned twenty to fifty times by the March low. Both are the same trade in different clothes: a large move inside a short window, bought when the window was known and the price was not.

Sequential plans. Compounding two tranches (a correction-clock tranche now, a systemic-clock tranche later, gains rolled forward) reaches \$1,000,000 in about 5 to 7% of simulated paths for disciplined splits, with a roughly 40% chance of ending below \$25,000. Going all-in twice on December 2027 then June 2028 puts reaches it in about 18% of paths

and loses more than 90% of the stake in about 64%. The independence assumption between tranches flatters these numbers; real paths are correlated. The conclusion is not that the target is impossible. It is that the target is a Hertz-type event trade, and the index book is the engine that funds and times it.

The structure this implies. Three sleeves. A **core** sleeve in long-dated index puts sized to the map's timing (the 2 to 3 times engine, 40% zero rate). An **event** sleeve, small and dated, in short-tenor deep-out-of-the-money puts on the index and on ledger names, placed only against a date from the ledger and accepted as a series of zeros until one pays. A **reserve** sleeve in cash, deployed when the cross-market confirmation count reaches three of five, because that is when the odds are best even though the price is no longer cheapest. The reserve is what keeps a 60% zero rate from ending the program before the date arrives.

2 · THE HERTZ PATTERN AS A SCHEMA

Nine fields, one date

Hertz, April to May 2020: an operating-lease payment due April 27 was missed; the miss was, by the documents, an amortization event on the vehicle-financing notes on May 5; lenders and noteholders signed waiver and forbearance agreements on May 4; those agreements expired May 22; with no refinancing available in a shut rental market, the company filed on the expiry date. The tradable edge was not "Hertz is levered." It was knowing the obligation, the cash, and the expiry. Every entry in the ledger therefore records the same nine fields, and is scored on the six things that made the Hertz trade knowable in advance.

FIELD	HERTZ 2020	QUESTION TO ANSWER FOR ANY CANDIDATE
Obligation	operating-lease payment to HVF II	What exactly is due, under which document?
Amount	~\$400M/month plus ABS amortization	How much, versus cash on hand?
Due date	April 27, 2020	The first date the arithmetic is tested.
Missed / technical default	Yes, April 27	Has it already been missed, or a covenant tripped?
Grace / cure	none effective; miss = amortization event May 5	How many days before the miss becomes an event of default?
Forbearance	lenders and noteholders, May 4	Who granted the extension, and what did they get for it?
Expiry	May 22, 2020	The date. This is the trade.
Consequence	enforcement against the fleet; Chapter 11 on the expiry date	What happens automatically if nothing changes?
Liquidity vs obligation	~\$1B cash vs ~\$17B vehicle debt, collateral falling, revenue -70%	Is a solution plausible inside the window?
Put market	HTZ puts liquid; IV rose above 150% after April 27	Is there a liquid instrument, and what is priced?

Score (0 to 10): dated obligation 2 · already missed 2 · forbearance with an expiry 2 · consequence defined in the documents 1 · liquidity demonstrably short 2 · liquid puts 1. Hertz scores 10. Anything at 8 or above with a known expiry is a trade to research to the document level; anything at 8 with an unknown expiry is a research assignment, not a trade.

3 · THE LIVE LEDGER, OCTOBER 2

Three entries at 8 of 10, none at 10, and one date to find above all others

ENTITY	SCORE	THE DATE	MISSED / TECHNICAL DEFAULT	FORBEARANCE AND EXPIRY	CONSEQUENCE ON EXPIRY	EXPRESSION	NEXT CHECK
HERTZ (2020) — calibration template	10	2020-04-27	YES — missed Apr 27, 2020	lenders + ABS noteholders: waiver and forbearance agreements signed May 4, 2020 → 2020-05-22	on expiry, noteholders could enforce against the fleet; no refinancing available in a shut rental market -> Chapter 11 filed on the expiry date	HTZ listed puts, liquid; IV >150% after Apr 27 (the trade was cheapest BEFORE the missed payment was public)	n/a
America's Car-Mart (CRMT)	8	covenant/waiver dates Sep 4 -> Sep 11 -> Sep 25 -> Oct 1 (V)	TECHNICAL: in waiver since early September; lenders 'gave four more days' twice (8-K Sep 24, V)	Silver Point Finance and lender group: FIVE consecutive short waivers; 8-K dated Sep 30 extends the scheduled termination date and minimum-liquidity / collateral-coverage relief (V) → 2026-10-08 (fifth extension; was Oct 1)	if no further waiver: facility default -> acceleration -> the company said bankruptcy is 'an option' (V); ABS trust triggers on the securitizations would follow (E)	CRMT listed options exist but are THIN (small cap); expect wide spreads and IV >100%; shares already reflect distress -> asymmetric only if a filing is not fully priced (NF: quotes)	Oct 8: sixth waiver or default notice (weekly waivers are now the pattern; Hertz's lenders also extended before they stopped)

ENTITY	SCORE	THE DATE	MISSED / TECHNICAL DEFAULT	FORBEARANCE AND EXPIRY	CONSEQUENCE ON EXPIRY	EXPRESSION	NEXT CHECK
Oracle — Project Jupiter (New Mexico, OpenAI capacity)	8	rent commencement tied to construction milestones; gas-pipeline slip to Feb 2027 (V)	CONTRACTUAL: Oracle invoked FORCE MAJEURE Sep 24, 2026 and is seeking a ~3-year rent deferral (V, Bloomberg)	Blue Owl/STACK: 'fully aligned... financial commitments unchanged' (V) = a forbearance in substance; project lenders' response NF → NF — the lease/loan documents' cure period and the lenders' waiver expiry are the dates to find (EDGAR exhibit or Bloomberg)	if lenders do not waive: project-loan default -> Blue Owl equity impaired -> Oracle's RPO (\$664B) partially unbacked; if they waive: the deferral moves ~\$X of rent into 2028-30 (E)	ORCL listed puts, deep and liquid; 30d IV ~60-70 (V, Sep); Dec-27 15%-OTM costs ~14% of spot in the model; spreads (85/55) OWL (Blue Owl) puts liquid, lower IV. Also: project-loan marks are the leading indicator (not tradable)	Oracle AI World / investor day (mid-Oct, date NF); any 8-K Item 1.01/2.04; Jupiter loan quotes; Blue Owl BDC Q3 marks
Non-traded BDCs / private-credit funds (BCRED, OBDC, HLEND, ADS, ASIF)	8	Oct 1, 2026 (Q3 windows, V); Jan 1, 2027	GATES = the forbearance: Oct 1 windows all capped at 5% again -- OTIC 39% requested (flat), OCIC 16.8%, BCRED ~10%, ADS 14.7%, HLEND ~11.5%, ASIF 11.6%; requests easing except AI/tech lending (V)	the funds themselves, by gating; sponsors (Blue Owl, Blackstone, Ares, Apollo) → each quarter-end; the second wave is Jan 1, 2027 (E)	sustained gates -> secondary discounts -> fundraising stops -> forced sales into a bid-less market -> marks -> insurer/pension writedowns (the Tier-1 event the credit indicator waits for)	listed proxies: OWL (Blue Owl, the most concentrated node), ARCC, OBDC, BXSLL, KKR/APO/BX (managers). Puts liquid on the managers; IV moderate (30-45, E)	Oct 1-10: redemption-request disclosures; Q3 NAV marks (Nov); any insurer 10-Q writedown
US Treasury — long-end clearing (not a default; a forced-action clock)	7	Oct 8 (30Y auction); Nov 4 (refunding); each buyback op	the Sep 24 buyback failed to hold (30Y 5.56 two sessions later, V) = the sovereign version of a missed payment	Treasury (buybacks, \$4-6B/op) and the Fed (none) → Nov 4 QRA: the next chance to change coupon sizes (V)	a tailed 30Y (>=4bp, cover <2.2) or a QRA that raises long coupons into 5.5% = the auction-stress trigger -> Crisis Gate proximity	TLT/TBT and long-bond futures options: liquid; index puts (SPX/QQQ) for the equity transmission; MOVE cannot be traded directly by retail	Oct 8 auction stats; Nov 4 QRA sizes; buyback fill ratios

ENTITY	SCORE	THE DATE	MISSED / TECHNICAL DEFAULT	FORBEARANCE AND EXPIRY	CONSEQUENCE ON EXPIRY	EXPRESSION	NEXT CHECK
OpenAI (private) — via ORCL / SoftBank / MSFT / NVDA / CRWV	6	2026-10-01 (SoftBank tranche); 2027 mega-round (>\$1.2T ask, V); 2028 cash exhaustion (V)	no — the \$10B tranche FUNDED Oct 1 (SoftBank release, V): \$30B program complete, ~13% stake; the risk is the 2027 round	SoftBank (junk-funded), sovereign funds; vendors (NVDA/ORCL/MSFT) via prepayments and guarantees (V) → 2027 round; contract milestones NF	if the 2027 round fails or shrinks: Oracle RPO, MSFT Azure commitment, NVDA 12GW commitments all rest on it (V, deck)	no direct puts; ORCL (largest single dependency), SoftBank 9984 JP (US retail access limited), CRWV, NVDA (least sensitive)	Oct 1 wire confirmation; Q4 round talk; Oracle RPO disclosure Dec
CoreWeave (CRWV) — GPU-collateralized delayed-draw term loans	4	amortization monthly/quarterly per DDTL schedules (NF exact)	no missed payments in the record	none needed yet → NF — the DDTL collateral-coverage test dates and the 2027 maturities are the dates to find	collateral-coverage breach -> mandatory prepayment / cash sweep -> equity value to lenders (E)	CRWV puts liquid; IV ~80-88 (model) -> expensive; Dec-27 70/25 spread ~15% of spot for ~1.1x EV in the model	10-Q covenant disclosures; any DDTL amendment 8-K
Credit Acceptance (CACC) / subprime auto ABS	4	settlement dated Sep 17 (V); ABS trigger tests monthly	no missed payment; a regulatory hit	n/a → NF — first ABS deal to hit a CNL trigger is the date	trigger breach -> early amortization -> the originator loses funding (the Tricolor path, V)	CACC puts moderately liquid; IV ~40-50 (E)	monthly ABS servicer reports; Fitch August index (still missing)
Micron / DRAM contract pricing (capital-cycle tell, not a liability)	4	2026-09-30	n/a	n/a → n/a	a DRAM contract-price rollover confirmed by two producers = a forensic tripwire confirmation (engine B) and the start of the capital-cycle down-leg	MU puts very liquid; IV elevated into the print (level NF); SOXX/SMH puts liquid (IV ~33)	Sep 30 4:30pm ET call; TrendForce 4Q26 numbers
SoftBank (9984 JP) — OpenAI funding chain	3	Oct 1 wire (V); coupon dates semi-annual (E)	no	n/a → NF	if OpenAI's 2027 round fails: SoftBank's stake marks -> bond spreads -> ARM margin loans (E)	9984 puts (Tokyo) — poor access for US retail; proxy: ARM puts (liquid), SFTBY (no options)	Oct 1; ARM lock-up/margin disclosures

Reading the ledger. America's Car-Mart is the closest structural match to Hertz: a \$300M facility, five consecutive short waivers (the fifth, dated September 30, runs to October 8), and bankruptcy called "an option" by the company. Hertz's lenders also extended before they stopped. It fails as an expression: the options are thin and the equity already prices distress, so its value is as the first-crack signal for subprime auto, not as the trade. Oracle's Project Jupiter is the most important entry in the system: a contractual force majeure, loans below 90, a record CDS, a matured \$3.3B guarantee with no refinancing print, and deep liquid puts. Its score is capped at 8 because the one field that made Hertz tradable, the expiry of the forbearance, is not in the record. Finding the cure period in the Jupiter lease and the lenders' waiver terms is the single highest-value research item in this program. The private-credit gates are the best analogue in the system as a structure (a dated window, a cap already binding, a documented consequence) and are expressed through the managers, Blue Owl above all. The Treasury clock is not a default but has the same logic: a dated auction on October 8, a demonstrated shortfall of demand on September 24, and a defined trigger.

Search protocol: where the dates live

****SEC 8-K Item 2.04**** "Triggering Events That Accelerate or Increase a Direct Financial Obligation" — the missed-payment / acceleration filing. Item 1.01 for waiver, forbearance and amendment agreements (the expiry date is in the exhibit). Item 2.03 for new obligations.

****EDGAR full-text search**** (efits): "forbearance agreement", "waiver" AND "credit agreement" AND "through" (the date follows "through"), "going concern", "substantial doubt", "cure period", "amortization event", "rapid amortization", "force majeure", "rent deferral", "payment-in-kind" AND "election", "NT 10-Q" / "NT 10-K" (late filings are the Hertz-April-27 of reporting).

****ABS trustee / servicer reports**** (monthly, on the trustee's site or Bloomberg): cumulative-net-loss and delinquency triggers, early-amortization events, overcollateralization tests. The auto-ABS and data-center-ABS triggers are where Tricolor and the DC paper will show first.

****Indenture mechanics****: 30-day interest grace (bonds), 5-business-day (loans); quarter-end covenant tests reported ~45 days later (10-Q); springing maturities (a 2028 bond that springs to 2027 if the 2027 loan is not refinanced 91 days before) — the springing date is the real date.

****Private credit****: BDC 10-Q/10-K non-accruals and PIK share; quarterly redemption-request disclosures (first two weeks of the quarter); gate press releases; insurer statutory filings (Schedule BA) for private-credit marks.

****Project finance / SPVs****: lender syndication status (Bloomberg/LevFin), rent-commencement dates in lease exhibits, completion guarantees and their maturity (Oracle's \$3.3B lessor guarantee is this).

****Sovereign****: TreasuryDirect auction results (tail, cover, dealer take), buyback results (fill ratio), QRA (coupon sizes), primary-dealer positioning (NY Fed), fails (DTCC).

****Rating actions and CDS****: a downgrade to CCC or a CDS above 1,000bp is the market reading the calendar; the edge is gone by then. The edge is items 1-6 BEFORE item 8.

Rule from Hertz: buy the puts on the missed payment, not on the filing. On April 27, 2020 the obligation was missed; on May 22 the waiver expired. The cheap entry was the day the obligation was known to be unpayable, which was visible in the March 10-K and the April 8-K, weeks before the price finished moving.

4 · STRUCTURE BY CLOCK

Match the tenor to the clock, the strike to the mechanism, and the size to the zero rate

The v0.2 timing engine gives three clocks: a correction (10%) with modal month **Feb 2027** and 80% interval Nov 2026 to Feb 2028; a bear market (20%) with modal month **Sep 2027** and interval Feb 2027 to Feb 2029; a systemic crash (25% with transmission) with modal month **Sep 2027** and interval Feb 2027 to Mar 2029, confidence HIGH. The first-crack window is October to November 2026 (the October 7–8 auctions, the Car-Mart October 8 expiry, the November 4 refunding, Oracle AI World October 25–28); the September 30 funding test and the October 1 gates passed without a Tier-1 event.

SLEEVE	CLOCK	TENOR	INSTRUMENTS (FROM THE MODELS)	WHAT THE RECORD SAYS IT EARNS	RULE
Core	bear / systemic, Sep 2027 to Sep 2027	Dec 2027 and Jun 2028	SPX 10% OTM puts (EV 2.7× / 2.4×); QQQ Dec-27 10% OTM (2.4×); SPX 90/70 spread for cheaper carry (2.4×)	v6 history: 1.7 to 1.9× on entries within 12 months of a top, 71 to 74% zeros, 5% at 10× or better; the –22%-from-running-peak exit lifted historical EV from 1.3× to 1.7×	hold through the modal month; exit at –22% from the running peak; take half off at 3×
Event	first crack / correction, Oct 2026 to Mar 2027	2 to 6 months, placed against a ledger date	SPX or QQQ 10 to 15% OTM 2- to 4-month puts around Oct 8 and Nov 4; ORCL 85/55 put spreads around its dated events; OWL puts around Oct 1 to 10 and the Q3 marks; Micron and SOXX only if the DRAM rollover is confirmed by two producers	v6 2020 case: a 2-month 25%-OTM SPX put bought a month before a fast crash returned 20 to 50×; the same put in every non-event window returned zero; the entry-offset heatmap below shows the median payoff exists only for entries in the peak month itself	size for a series of zeros; never more than 15% of the stake live at once; buy on the missed payment, not on the filing
Reserve	confirmation, whenever 3 of 5 domains confirm	6 to 12 months at that time	index puts at the then-current strike 10% OTM; HYG puts only once high yield is through 350bp	puts are cheapest before confirmation and pay best after it; the reserve buys the second leg the models say is larger than the first	deploy in thirds on each new confirmation; never deploy on narrative

v6 entry-offset heatmap (median multiple by months before the peak, crash episodes pooled)

STRUCTURE	-0M	-3M	-6M	-9M	-12M	-15M	-18M	-21M	-24M
QQQ Dec-27 10% OTM	2.05	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
QQQ Dec-27 90/65 spread	2.16	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
QQQ Dec-27 seagull 90/65 -135c	2.93	1.77	0.53	0.00	0.00	0.00	-0.00	0.00	-0.35
QQQ Jun-28 90/65 spread	1.88	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
SPX Dec-27 10% OTM	2.56	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
SPX Dec-27 90/70 spread	2.77	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
SPX Dec-27 seagull 90/70 -125c	1.75	1.96	1.10	0.83	1.09	1.07	0.82	0.81	1.55
SPX Jun-28 10% OTM	2.19	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
SPX Mar-27 10% OTM	0.78	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

STRUCTURE	- 0M	- 3M	- 6M	- 9M	- 12M	- 15M	- 18M	- 21M	- 24M
SPX Mar-27 90/75 spread	1.27	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
SPX Mar-27 seagull 90/75 -115c	1.11	1.07	1.02	0.96	1.00	0.99	0.96	0.97	0.95
[B] QQQ Jun-27 p 11% OTM	1.02	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

The heatmap is the most important table in the historical work for the event sleeve, and it is brutal: the median outright put bought even three months before the peak expired worthless; only the entry in the peak month itself has a positive median (2 to 2.8 times). The means are higher because a minority of entries pay large, but the median is what a single tranche experiences. Only the seagulls (put spreads part-financed by a far-out call) hold value when early, at the cost of a capped payoff. The engine's job is to put the event sleeve inside the peak window; the ledger's job is to name the day; the tranche rule exists because the first four tickets will most likely be zeros.

5 · SIZING FROM \$50,000

A ladder, not a bet

SLEEVE	ALLOCATION	WHEN	WHAT	STOP / ROLL
Core	\$20,000 (40%)	now, in two halves (now and after the Nov 4 refunding); the engine's correction clock moved to Feb 2027 on Oct 2, so the second half may be the better entry	SPX Dec-27 10% OTM (about 3.2% of notional: ~\$625,000 notional per \$20,000) or the 90/70 spread for ~15% less premium; consider XSP for size granularity and Section 1256 treatment	exit –22% from running peak; sell half at 3×; roll Dec-27 into Jun-28 in Q2 2027 if the systemic clock has not fired
Event	\$7,500 (15%), in five \$1,500 tranches	one tranche per ledger date: Oct 7–8 auctions and the Car-Mart Oct 8 expiry, Nov 4 refunding, the Oracle cure date once found, the Jan 1 gate wave, Oracle AI World Oct 25–28	2- to 4-month 10 to 15% OTM index puts; ORCL 85/55 spreads; OWL puts. Expect four of five to expire worthless; one 20× tranche returns \$30,000	no stop: they are lottery tickets against a date; close at 10× or at the date, whichever first
Reserve	\$22,500 (45%)	only on confirmation 3 of 5, in thirds	index puts 6 to 12 months, 10% OTM at that time; HYG puts once HY is above 350bp	same exit rules as core

How the target is reached, if it is. Not by one position. The path the models can defend runs: an event tranche pays 10 to 20× on a dated crack (turning \$1,500 into \$15,000 to \$30,000); the core sleeve pays 3 to 5× as the bear clock fires (turning \$20,000 into \$60,000 to \$100,000); the reserve, deployed after confirmation, pays 3 to 5× on the second leg. Compounded, \$50,000 reaches the low-to-mid six figures in the modal case and \$1,000,000 only if an event tranche lands a Hertz-type 20× and the proceeds are rolled into the core at the right time. The models put that combined path at a single-digit percentage. It is a real path; it is not the expected one. The expected outcome of the program, run with discipline, is a two- to three-fold gain on the capital at risk with a 40% chance of a loss on the core sleeve; the target is the tail of that distribution, and the ledger is the only tool that fattens the tail.

6 · EXECUTION RULES

What to verify before every ticket

- **Liquidity:** open interest above 500 contracts and a bid-ask under 10% of the mid at the strike and tenor; otherwise use the index (SPX/XSP) instead of the name. Car-Mart fails this test; Oracle, Blue Owl, Micron, SOXX and the indices pass.
- **Implied volatility rank:** do not buy single-name puts above the 80th percentile of their own one-year IV range unless the ledger date is inside the tenor. The model's single-name structures run near 1.0 to 1.2× for exactly this reason: their volatility already prices the stress.
- **Dated events inside the tenor:** know the earnings date, the covenant test date, the redemption window and the auction. No Nvidia puts into its late-November print. Micron only through the September 30 print if the position is sized as an event ticket.
- **Skew:** the model prices at a flat volatility; real skew adds several points to deep wings. Discount the model's multiples on 40 to 55% out-of-the-money single-name puts by a third to a half. Prefer 10 to 15% out of the money on indices and put spreads on names.
- **Tax and structure:** SPX and XSP options are Section 1256 contracts (60/40 treatment, mark to market); equity and ETF options are not. Spreads cap the payoff but cut the premium; use them where the volatility already prices the move (Oracle, CoreWeave), not on the index where the tail is the point.
- **Exit discipline:** the -22%-from-running-peak rule and the "sell half at 3×" rule come from the v6 replay, which found that the entry-anchored trigger fired in only 10 to 25% of historical crash entries because the index often rallied after purchase. Peak-anchored exits nearly doubled historical EV with fewer zeros.
- **Bleed budget:** premium at risk, across all sleeves, capped at 1.5% of total net worth a year. The program is designed to survive being a year early, which the analogue engine says is the most common way to be right and lose.
- **The Hertz rule:** buy on the missed payment, not on the filing. The April 27 miss was public weeks before the May 22 expiry; the cheap entry was the day the arithmetic became public, not the day the court did.

This is an analytical framework, not investment advice. The probabilities are model outputs from a scenario simulation and a small historical sample; the dates in the ledger carry the tags shown (verified, estimate, not found); nothing here accounts for personal circumstances, tax position or risk tolerance. Buying options can lose the entire premium. The one claim this document makes with confidence is about method: a dated liability with a known expiry and cash that is not there is the only structure that has ever produced the multiple you are targeting, and the ledger is how you find the next one before the price does.